

Ibbotson figure of 10 percent to 12 percent a year unless the portfolio can accumulate and reinvest all the income that it earns.

Investors who must pay taxes on their income or, even worse, are not in a position to accumulate and reinvest every penny of dividend income they receive cannot rely on the long run to bail them out of the inherent volatility of equity investments. There have been fifty-six ten-year rolling holding periods beginning with 1925–35. In nine of those cases—of which only three were in the 1930s—stock prices ended up below where they started. In another twelve cases, the increase in stock prices over ten years lagged the rise in the cost of living, so that the portfolio lost real value. This means that the market's price performance was negative one-third of the time in these ten-year holding periods even though, over the whole span of sixty-six years, prices rose thirtyfold, or 5.1 percent a year. Those are scary numbers without the precious support and smoothing of income accumulation. Equity investing is risky business, even in the long run.

NOISES, SIGNALS, AND TEMPESTUOUS SEASONS

The long run in the popular view is a process that smooths the bumps, that cuts through the clutter, that captures the main trend. But if there is a moral to the story I have related here, it is that the long run is a complex, ambiguous, even elusive concept, better in theory than it often is in practice. We cannot escape those difficulties. They are part of life.

Despite the complexity, ambiguity, and elusiveness of the long run, there is another moral, and a useful one. Time matters. Quantitative changes become qualitative changes, and fundamental transformations take place as the time